Claims Handling, Settlement Authority & Reserving Guidelines

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FICTIONAL DOCUMENT - created for a software demonstration. Cardinal Ridge Insurance Group does not exist. Legal and regulatory content is simplified and is NOT legal advice.

1. Purpose and scope

These guidelines govern how Cardinal Ridge Insurance Group (CRIG) handles first-party and third-party claims in Auto (AUTO), Homeowners (HOME), Commercial Property (COMM_PROPERTY), General Liability (GL) and Workers' Compensation (WC) in Ohio, Texas, Florida, California, New York and Illinois. They apply to every adjuster, supervisor, vendor manager and third-party administrator.

2. Claim lifecycle

Stage	Standard	Owner
First notice of loss (FNOL)	Log within 1 business day; assign adjuster same day	Intake
Acknowledgement	Within the state clock (see state summaries); company standard 2 business days	Adjuster
Coverage review	Confirm policy in force on loss date, coverage, exclusions, deductible	Adjuster / Coverage counsel
Investigation	Statements, photos, estimates, police/fire reports as relevant	Adjuster
Decision	Accept or deny in writing inside the state decision clock	Adjuster / authority holder
Payment	Within the state payment clock after acceptance	Claims payments

3. Delegation of settlement authority

No one may approve a payment above their personal authority. The assessed amount is the HIGHER of the claimed amount and the current reserve. Authority is per claim, per occurrence.

Level	Authority limit (USD)	Notes
Claims Adjuster (JUNIOR)	10,000	Auto physical damage, small property
Senior Adjuster (SENIOR)	50,000	Includes small bodily injury
Claims Manager (MANAGER)	250,000	Requires file review before approval
Claims Director (DIRECTOR)	1,000,000	Reinsurance notice check mandatory
Claims VP + Board notification	Above 1,000,000	Notify CEO, CFO and Board Risk Committee

Splitting a loss into several smaller payments to stay under an authority limit is prohibited and is itself a fraud red flag.

4. Reserving

• Set an initial reserve within 3 business days of FNOL at the probable ultimate cost, not the best case.

• Review reserves every 30 days and after any material development (new estimate, suit filed, injury update).

• Reserve changes above 25,000 USD require Manager approval; above 250,000 USD require Director approval.

• Catastrophe (CAT) claims are reserved using the CAT average-reserve table until an inspection is complete.

5. Reinsurance notice

Claims whose assessed amount reaches the treaty notice threshold must be reported to Reinsurance Accounting within 5 business days. Thresholds for the 2026 treaty year: Property Catastrophe XOL 500,000 USD; Casualty XOL 500,000 USD; Auto Quota Share 1,000,000 USD. Failure to give timely notice can jeopardise recovery.

6. Denials and reservation of rights

• Every denial must be in writing, cite the specific policy provision and facts, and explain the appeal / complaint rights.

• Never deny on suspicion of fraud alone: refer to SIU, send a reservation-of-rights letter and keep state clocks running.

• A policy cancelled for non-payment before the date of loss provides no coverage for that loss.

• Flood and surface-water losses are excluded under the homeowners form unless a flood endorsement is on the policy.

7. Vendor management

Preferred vendors must be licensed, insured and in good standing. Vendors with three or more SIU cases in 24 months are moved to 'watch' status; payments to watch-status vendors need Manager approval regardless of amount.